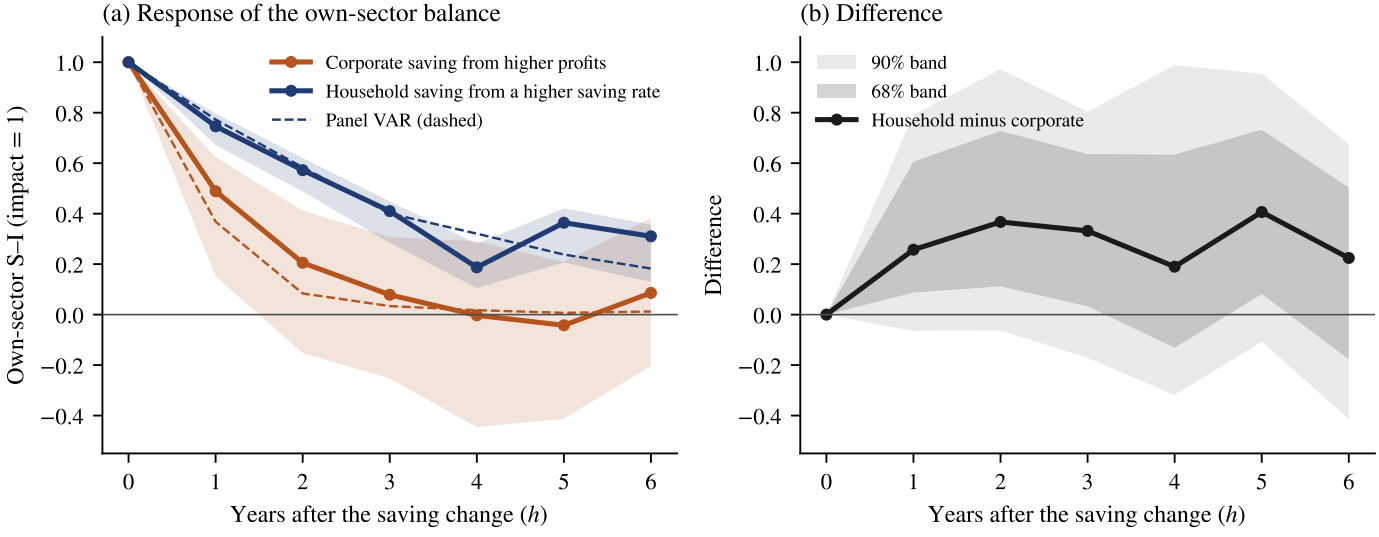
A profit windfall fades faster than a shift in household saving behavior



Notes: N = 795, 38 economies. Local projections of each sector's saving–investment balance on the components of the change in its saving, with two lags of the own-sector balance (levels), of all four components and of GDP growth, and country and year fixed effects; two-step weighted least squares. Responses are normalized by the impact response. Bands from a country-cluster bootstrap (499 replications). Dashed lines: panel VAR with the same variables and a recursive ordering that mirrors the local projections.